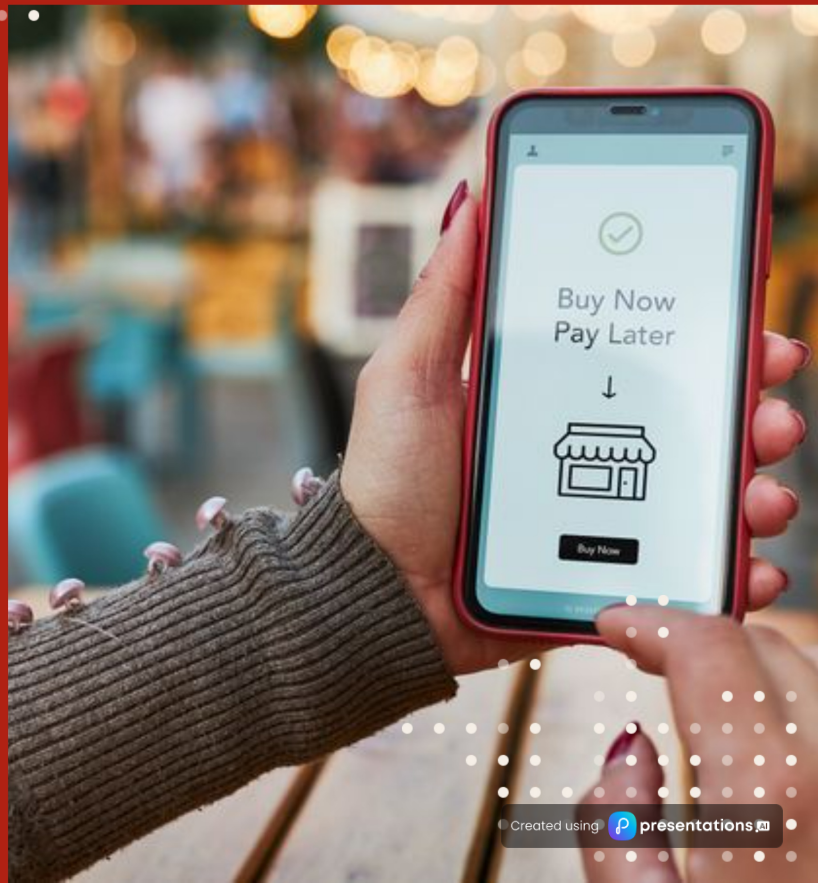


B2B BNPL Market Analysis: Saudi Arabia

Overview of market conditions and growth potential



B2B BNPL Market Analysis: Saudi Arabia

Comprehensive Analysis on Business-to-Business Buy Now Pay Later Market



01 Market Overview

An introduction to the B2B BNPL market in Saudi Arabia, outlining its significance and current trends.

02 Market Drivers

Factors contributing to the growth and development of the B2B BNPL sector in the region.

03 Target Market Segments

Identification of key market segments that are driving demand for B2B BNPL services.

04 Competitive Analysis

Examination of the competitive landscape and major players within the B2B BNPL market.

05 Market Size and Opportunity

Assessment of the overall market size and the opportunities available within the sector.

06 Risk Analysis

Evaluation of potential risks and challenges facing the B2B BNPL market in Saudi Arabia.

07 Recommendations

Strategic recommendations for stakeholders to maximize their engagement with the B2B BNPL market.

08 B2B BNPL Revenue Analysis

Analysis of revenue generated from B2B BNPL services in Saudi Arabia.

Market Overview

Current Market Conditions



B2B e-commerce market size

Saudi Arabia's B2B e-commerce market size is approximately \$13.5 billion in 2023.

01



Annual growth rate

The market is expected to experience an annual growth rate of 16.7% CAGR through 2025.

02



SME contribution to GDP

Small and Medium Enterprises (SMEs) contribute 28.8% to the GDP.

03



Number of registered SMEs

There are around 978,000 registered SMEs in Saudi Arabia.

04



Current B2B payment terms

B2B payment terms typically range from 30 to 90 days and are conducted through traditional methods.

05

Market Drivers and Pain Points

Analyzing the impact of Vision 2030 and current B2B challenges

✓ Government push for digital transformation

The government is actively promoting digital transformation initiatives to modernize various sectors.

✓ Target to increase SME contribution to GDP to 35%

A strategic goal set to enhance the role of Small and Medium Enterprises (SMEs) in the national economy.

✓ Fintech development initiatives

Efforts are being made to foster the growth of financial technology solutions in the market.

✓ E-commerce growth promotion

There is a strong emphasis on promoting e-commerce to boost trade and economic activity.

✓ Long payment cycles

B2B transactions often face lengthy payment cycles, averaging between 60 to 90 days.

✓ Limited access to traditional financing

Many SMEs struggle with obtaining financing through conventional banking channels.

✓ Complex documentation requirements

The documentation needed for B2B transactions can be intricate and burdensome for SMEs.

✓ Cash flow management challenges for SMEs

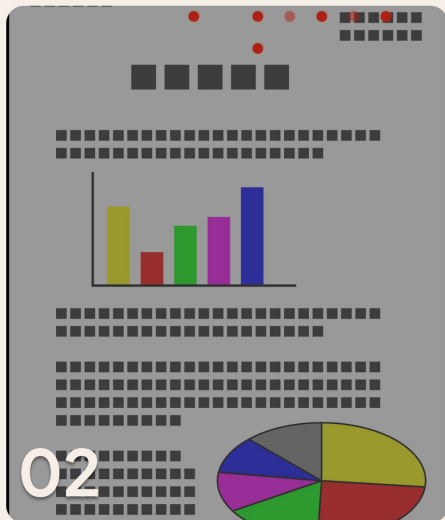
SMEs frequently encounter difficulties in managing cash flow due to various market conditions.



Small and Medium Enterprises (SMEs)

The primary target market includes SMEs

- across various sectors such as
- manufacturing, retail, construction
- suppliers, technology service providers, and
- healthcare supplies.



Industry Focus Distribution

The potential market distribution is as follows: Manufacturing (25%), Retail (30%), Construction (20%), Technology (15%), and Others (10%).

Target Market Segments

Overview of Primary Segments and Industry Focus

Competitive Analysis

Current Players and Competitive Advantages

✓ Traditional Financing

Includes Saudi banks, invoice financing providers, and supply chain financing solutions.

✓ Emerging Competition

Characterized by limited direct B2B BNPL competitors, some international players exploring market entry, and traditional banks developing digital solutions.

✓ Quick Approval Process

Proposed solution features a rapid approval process to enhance customer experience.

✓ Digital-First Approach

Focuses on a digital-first methodology to cater to modern business needs.

✓ Shorter Term Financing

Offers financing terms of up to 4 months, providing flexibility for businesses.

✓ Integration with Existing B2B Platforms

Seamlessly integrates with current B2B platforms to enhance usability.

✓ Shariah-Compliant Structure

Ensures that the financial solution adheres to Shariah law, appealing to a specific market segment.

Market Size and Opportunity

Understanding the Financial Potential

B2B Transaction Volume

The B2B transaction volume is approximately \$300 billion annually.



BNPL Penetration Potential

Potential Buy Now Pay Later (BNPL) penetration is estimated at 2–5% within the first three years.



Estimated Market Opportunity

The overall estimated market opportunity ranges from \$6 billion to \$15 billion.



Revenue from Transaction Fees

Transaction fees can generate revenue between 1–3% per transaction.



Revenue from Late Payment Fees

Late payment fees provide an additional revenue stream.



Revenue from Integration Fees

Integration fees can contribute to overall revenue.



Subscription Models

Subscription models for additional services can create recurring revenue.



Risk Analysis

Key Risks



Operational Risks

Involves challenges in credit assessment, management of default risks, and the integration with existing systems.

Regulatory Risks

Includes compliance with Saudi Central Bank (SAMA) regulations, fintech licensing requirements, and Shariah compliance needs.



Market Risks

Entails competition from traditional banks, cultural adoption barriers, and the impact of economic fluctuations.

Recommendations for Entry Strategy and Success Factors

A structured approach for market entry and key success elements

01

Phase 1: Initial Focus

Focus on specific industries such as manufacturing and retail while partnering with established B2B marketplaces and starting with lower risk merchants.

02

Phase 2: Expansion

Expand to additional sectors, increase transaction limits, and add value-added services to enhance offerings.

03

Strong Credit Assessment

Implement a robust credit assessment methodology to evaluate merchant risk effectively.

04

Shariah-Compliant Structure

Ensure that the business operations and financial structures are Shariah-compliant.

05

Digital-First Approach

Adopt a digital-first approach to cater to the evolving needs of the market.

06

Strategic Partnerships

Form strategic partnerships to leverage existing networks and market knowledge.

B2B BNPL Revenue Analysis

Primary Revenue Streams Overview



Transaction Fees

The base transaction fee ranges from 1.5% to 3% per transaction, with an estimated average transaction size of SAR 50,000 (\$13,300). Projected volume includes 5,000 transactions in Year 1, 15,000 in Year 2, and 30,000 in Year 3.



Integration & Platform Fees

A one-time integration fee ranges between SAR 5,000 to 15,000 (\$1,300 to \$4,000) per merchant, along with a monthly subscription fee of SAR 200 to 500 (\$53 to \$133) per merchant.



Late Payment Fees

Late payment fees are charged at a rate of 2% on the outstanding amount, with an expected late payment rate of 5–8% of transactions.

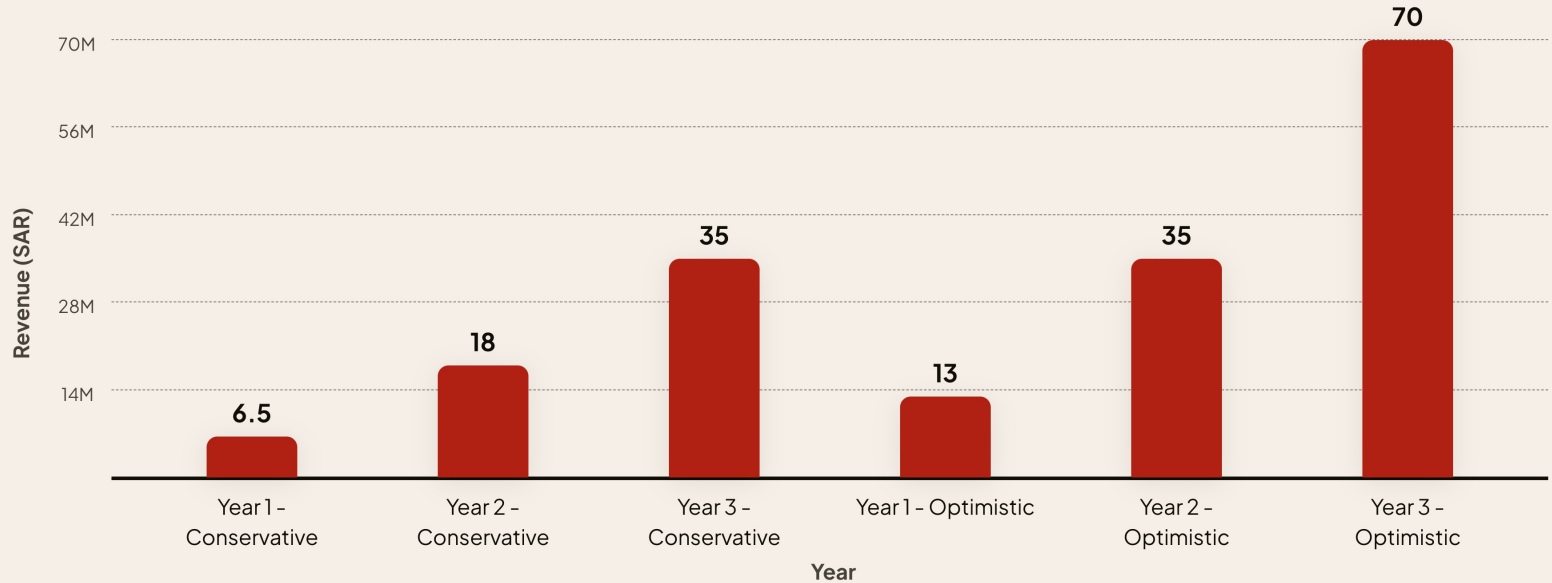


Value-Added Services

Additional services offered include supply chain analytics, invoice management, and credit risk assessment, enhancing the overall value proposition.

Total Revenue Projections

Conservative and Optimistic Scenarios



Source: Companies Market Cap

Profitability Considerations

Major Cost Components and Expected Margins

Credit Losses

- 01 Account for 2–3% of transaction volume, impacting overall profitability.

Technology Infrastructure

- 02 Represents 15–20% of revenue, essential for operational efficiency.

Sales & Marketing

- 03 A significant expense, consuming 25–30% of revenue to drive customer acquisition.

Operations

- 04 Costs range from 20–25% of revenue, crucial for effective service delivery.

Gross Margin

- 05 Expected to be between 70–75%, indicating strong profitability potential.

Operating Margin

- 06 Projected at 15–20% by Year 3, reflecting operational efficiency.

Net Margin

- 07 Expected to be 10–15% by Year 3, an important indicator of overall profitability.